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UNIT I FUNDAMENTALS OF BUSINESS

CHAPTER 1 HISTORICAL BACKGROUND OF COMMERCE IN THE SUB-CONTINENT

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gwTk jkNghy nra;d. - Fws 120

Couplet:
The true merchandise of merchants is to guard and do by the things of others as they do by their own.

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Learning Objectives

To enable the students to
i. gain knowledge about the historical background of commerce in the sub continent
ii. learn the hindrances to commerce and trade
iii. know about the features of barter system

1.01 Introduction

Commerce has been in practice since time immemorial. It is part and parcel of human life, whether it is a king or a common man. It emerged as an economic activity, mainly as barter system which means exchange of goods for goods. It was so comfortable for neighbouring villages, states, even countries to practice barter in the absence of a medium of exchange in the form of money today. However, the concept of money occupied its predominance when scarce resources were to be either exchanged between parties in need or countries in demand and over a period of time barter economy took the dimension of monetary economy where money was used as a medium of exchange of goods and services.

The growth of civilization witnessed the rise and fall of many dynasties, but still the course of commerce activities continued further and further, not only within a country, but also between nations of the world. However Tamil Nadu remained to be the founder of trade and commerce both within and outside as evidenced in various ancient literatures like Sangam.

The whole of commerce activity emerged from barter system into a multi dimensional and multifaceted scientific system consisting of courses like Monetary system, Mail-order business, Hire purchase system, Instalment purchase system and so on. In a technology driven society today again the course of commerce activities is heading for a cashless system through e-commerce, which means business activities enabled